

EQUITY RESEARCH · COMPANY DEEP DIVE

Broadcom Inc. (AVGO.US)

Technology · Semiconductors

Large Cap (>\$200B) · Report Date: June 12, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-12

BUY

Blended Target: \$522.06

DCF + Comps + Analyst (see cross-check table)

Implied upside: +38.3%

Price (Jun): \$377.35

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$522.06 (+38.3% vs \$377.35); analyst-led valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Broadcom Inc. (AVGO) — Technology. Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in... **BUY** rating; blended target \$522.06. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value               | Item         | Value      |
|---------------|---------------------|--------------|------------|
| Market Cap    | \$1.80T             | Shares Out.  | 4757.6M    |
| 52-Week Range | \$244.17 – \$495.00 | P/E (TTM)    | 62.8x      |
| P/B           | 20.5x               | Beta         | 1.43       |
| Avg Volume    | 25.60M              | Analyst Rec. | Strong_Buy |
| Revenue (TTM) | \$63.89B            | Rev Growth   | +23.9%     |
| Op. Margin    | 49.0%               | FCF (TTM)    | \$26.91B   |



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

| Metric                  | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 51,574   | 63,887   | 79,140   | 92,959   | 105,019  |
| Revenue Growth (%)      | N/A      | 23.9%    | 23.9%    | 17.5%    | 13.0%    |
| Net Income (\$M)        | 5,895    | 23,126   | 28,647   | 33,650   | 38,015   |
| Net Income Growth (%)   | N/A      | 292.3%   | 23.9%    | 17.5%    | 13.0%    |
| Gross Margin (%)        | 63.0%    | 67.8%    | 76.3%    | 76.3%    | 76.3%    |
| Net Margin (%)          | 11.4%    | 36.2%    | 36.2%    | 36.2%    | 36.2%    |
| ROE (%)                 | 8.7%     | 28.4%    | 35.2%    | 37.5%    | 40.4%    |
| EPS (\$)                | 1.24     | 4.86     | 6.02     | 7.07     | 7.99     |
| Book Value / Share (\$) | 14.23    | 17.09    | 17.09    | 18.84    | 19.78    |
| P/E (x)                 | 304.54   | 77.63    | 62.67    | 53.35    | 47.23    |
| P/B (x)                 | 26.53    | 22.08    | 22.08    | 20.03    | 19.08    |
| Dividend Yield (%)      | 67.0%    | 67.0%    | 67.0%    | 67.0%    | 67.0%    |

VALUATION CROSS-CHECK

| Valuation Method                              | Implied Price | vs. Current | Weight in Target | Notes                                                             |
|-----------------------------------------------|---------------|-------------|------------------|-------------------------------------------------------------------|
| DCF (Simon FCFE)                              | \$125.82      | -66.7%      | 0% (excluded)    | DCF implied price < 35% of market (capex-heavy or distorted FCFE) |
| Comps — P/E (peer median)                     | \$187.81      | -50.2%      | —                | Peer median P/E 31.2x                                             |
| Comps — EV/EBITDA (peer median)               | \$188.49      | -50.0%      | —                | Peer median 27.2x                                                 |
| Comps — P/S (peer median)                     | \$139.84      | -62.9%      | —                | Peer median P/S 10.4x                                             |
| Comps — Blended (avg. of available multiples) | \$172.05      | -54.4%      | 0% (excluded)    | Diverges below other methods (33% of median)                      |
| Analyst consensus (Yahoo Finance)             | \$522.06      | +38.3%      | 100%             | Included in blend                                                 |
| Blended target (weighted)                     | \$522.06      | +38.3%      | 100%             | Analyst 100%                                                      |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 11.88%    |
| Terminal g          | 4.00%     |
| FCFE growth         | 15.52%    |
| Base FCFE           | \$26.91B  |
| PV explicit (5Y)    | \$148.28B |
| PV terminal         | \$416.74B |
| Equity value (adj.) | \$598.58B |
| Implied price       | \$125.82  |
| vs. current         | -66.7%    |

INDUSTRY ANALYSIS

1. Industry Overview

Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in two segments: Semiconductor Solutions and Infrastructure Software. The company offers networking connectivity, such as custom silicon solutions, ethernet switching & routing, ethernet NIC controllers, physical layer devices, and fiber optic...

2. Key Trends

- Strong top-line growth (23.9% YoY)
- High operating leverage (49.0% margin)
- Above-market volatility (β=1.43)
- Sector: Technology | Industry: Semiconductors

3. Risk Factors

- Premium valuation (P/E: 62.8x)

COMPETITOR ANALYSIS

| Ticker | Company               | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|-----------------------|------------|-------|-----------|------------|------------|
| NVDA   | NVIDIA Corporation    | \$4.95T    | 31.2x | 29.7x     | 63.0%      | +85.2%     |
| GOOGL  | Alphabet Inc.         | \$4.40T    | 27.6x | 26.7x     | 37.9%      | +21.8%     |
| AAPL   | Apple Inc.            | \$4.26T    | 35.2x | 27.2x     | 27.2%      | +16.6%     |
| MSFT   | Microsoft Corporation | \$2.86T    | 22.9x | 16.0x     | 39.3%      | +18.3%     |
| AVGO*  | Broadcom Inc.         | \$1.80T    | 62.8x | 44.7x     | 38.8%      | +23.9%     |

\* Subject company. Commands premium p/e vs peers. Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.